

BALANCE SHEET

Understanding the notes

The balance sheet is a useful indication of the health of a business, and it is important that investors know how to analyze it. It can be read in two ways—"at a glance," as on the previous page, where general information is summarized, or in depth, with more detailed information about each element. Provided

after the summary, the detailed section of the balance sheet explains the specific financial workings of the business in a number of notes. It shows exactly where money has been gained or lost, in figures, and it often includes a written commentary about potential developments that may affect the company, such as court cases, staffing, or availability of resources.

Balance-sheet notes

Investors may want to know more about the figures in the summary section, so additional notes and tables give detailed breakdowns of the figures (at the time, the exchange rate was £1 = \$1.58).

 Case study: tangible fixed assets This table presents details of Wessex Water's tangible fixed assets (long-term assets that cannot easily be converted into cash).				
	   			
	LAND AND BUILDINGS	INFRASTRUCTURE ASSETS	PLANT, MACHINERY, AND VEHICLES	OTHER ASSETS
	£m	£m	£m	£m
Tangible fixed assets include land and machinery				
Additions are new tangible fixed assets the business has acquired this year				
Disposals are any tangible fixed assets the business has disposed of or sold this year				
Total value of the company's fixed assets is listed by category and in total				
Depreciation is the decrease in value of assets over time				
Value of depreciation of assets is listed by category and in total				
Net book value of an asset is its initial cost minus all its depreciation to date				
Combined value of the company's tangible fixed assets in each category, and also in total, is listed				
	Cost			
	As of April 1, 2012	676.3	1,229.7	1,204.6
	• Additions	9.5	67.8	49.1
	Transfers on commissioning	13.7	11.2	42.2
	• Disposals	(0.2)	-	(13.1)
	Grants and contributions	-	(5.0)	-
	• As of March 31, 2013	699.3	1,303.7	1,282.8
	• Depreciation			
	As of April 1, 2012	211.3	435.5	558.8
	Charge for the period	13.7	43.2	56.8
	Disposals	(0.1)	-	(11.5)
	• As of March 31, 2013	224.9	478.7	604.1
	• Net book value			
	• As of March 31, 2013	474.4	825.0	678.7
	As of April 1, 2012	465.0	794.2	645.8
				71.0